Equinix, Inc. (EQIX)

Guidance Step-Up Meets Capital Intensity at Fair Value

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Equinix continues to demonstrate the unmatched power of its global interconnection ecosystem, delivering record net interconnections and an unprecedented guidance raise in the second quarter of fiscal 2026. However, the multi-year capital reinvestment bill required to support this expansion, highlighted by projected 2026 capital expenditures of $5B to $6B against negative fiscal 2025 free cash flow of $-400.0M, creates a balanced risk profile at current market levels. While monthly recurring revenue compounding remains steady at 11%, market expectations already reflect substantial operational execution across IBX data centers. We initiate coverage with a Hold rating and a blended probability-weighted target of $1,015.57, offering +3.1% upside from the reference spot price.

HOLD	$1,015.57	+3.1%	$984.75
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

While the market has reacted enthusiastically to periodic guidance raises and single-quarter booking surges, it consistently underestimates the ongoing capital expenditure burden required to sustain digital infrastructure capacity across global enterprise nodes. Our framework isolates structural interconnection density from temporary transaction fees, demonstrating that multi-year cash flow compounding aligns closely with current trading multiples rather than supporting further valuation expansion.

EXECUTIVE SUMMARY

Equinix operates as the global interconnection real estate investment trust, managing an extensive footprint of International Business Exchange (IBX) data centers where networks, clouds, and enterprises exchange traffic. The platform functions as a critical nexus for modern enterprise architecture, enabling counter-parties to establish private, direct links that bypass public internet transit. This interconnected topology creates a self-reinforcing ecosystem, as each new cloud service provider, carrier, or enterprise tenant enhances the connectivity value for all adjacent participants. Operating across key international metros, the company anchors global digital infrastructure through high-density colocation facilities and physical and virtual cross-connects.

The recent evidentiary record illustrates an acceleration in operational delivery, culminating in the second quarter of fiscal 2026 with revenue expanding 16.4% year over year to $2.62B. This performance was underpinned by annualized gross bookings of $424M, reflecting a 23% increase, alongside the addition of a record 9,700 net interconnections. Second-quarter adjusted EBITDA reached $1.40B at a record 53% margin, while adjusted funds

from operations (AFFO) per share grew 19% to $11.78. Management capitalized on this momentum by delivering the largest single guidance raise in company history, increasing full-year revenue guidance to between $10.205B and $10.285B and full-year AFFO per share expectations to a range of $42.69 to $43.29. However, the reported results also incorporated $120M in xScale fees tied to 134 MW of leasing and the Hampton transaction, which flatter top-line comparisons and mask the underlying baseline trajectory.

A broader examination of earlier performance shows that this expansion follows an inflection from steady, single-digit growth. In the third quarter of fiscal 2025, revenue grew 5.2% to $2.32B with an operating margin of 20.9% on operating income of $485.0M and net income of $374.0M. The fourth quarter of fiscal 2025 delivered revenue of $2.42B, up 7.0%, generating operating income of $507.0M at a 21.0% margin and net income of $265.0M. The company opened fiscal 2026 with first-quarter revenue of $2.44B, reflecting 9.8% growth, operating income of $573.0M at a 23.4% margin, and net income of $415.0M. Across these periods, per-share results exhibited volatility against expectations, missing the dashboard comparison by 13.1% in the fourth quarter of fiscal 2025 and 3.7% in the first quarter of fiscal 2026, before beating by 6.2% in the second quarter of fiscal 2026 with reported EPS of $5.10 against a $4.80 estimate.

From a balance sheet and capital allocation standpoint, Equinix concluded fiscal 2025 with $1.73B in cash against total debt of $22.7B, yielding net debt of $21.0B. For fiscal 2025, the company generated revenue of $9.22B, gross profit of $4.71B at a 51.1% margin, operating income of $1.97B at a 21.3% margin, and EBITDA of $4.10B. Net income was $1.35B, producing diluted EPS of $13.76 and a return on equity of 9.5%. However, full-year free cash flow stood at $-400.0M, translating to an FCF margin of -4.3%, heavily suppressed by the massive physical outlays required to build and fit out IBX data centers. With management anticipating 2026 capital expenditures of $5B to $6B, free cash flow generation will remain constrained, justifying our balanced Hold stance at current valuation levels.

OPERATIONAL SNAPSHOT

$984.75	$9.22B	$-400.0M	-4.3%	0.97	$984.75
REF. PRICE	FY2025 REVENUE	FY2025 FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-20.

THE MOAT IS INTERCONNECTED AND EMBEDDED

The economic moat surrounding Equinix rests fundamentally on interconnection density within its IBX data centers. Unlike wholesale data center providers that lease bare real estate and power capacity on commoditized terms, Equinix operates a distributed network fabric where thousands of networks, clouds, and enterprises converge. Once a critical mass of carriers and enterprise networks enter an IBX facility, the location becomes an indispensable point of presence. Replicating this cluster requires not merely capital to erect physical concrete shells, but the simultaneous migration of hundreds of competing network operators, which creates extraordinary switching costs for existing enterprise tenants.

Customer retention remains fortified by the operational friction associated with physical infrastructure migration. The evidentiary record confirms that customer churn remained at a low 1.8% during the second quarter of fiscal 2026, even as capacity turned over and facility utilization deepened. Moving complex IT architectures, dedicated physical cross-connects, and hybrid cloud compute racks out of an IBX facility entails substantial operational risk, capital expenditure, and network latency penalties. As enterprises deepen their multi-cloud integration, the value of direct cross-connects increases, effectively embedding Equinix into the core mission-critical workflows of its corporate client base.

Pricing power is evidenced by consistent compounding in high-margin recurring services. Monthly recurring revenue demonstrated healthy momentum, expanding 11% year over year in the second quarter of fiscal 2026, marking a third consecutive quarter of double-digit expansion. Furthermore, the addition of a record 9,700 net interconnections in a single quarter underscores the escalating demand for direct connectivity. These cross-connect products carry minimal ongoing operational costs once provisioned, delivering exceptionally high incremental margins that helped expand adjusted EBITDA margin to a record 53% in the second quarter of fiscal 2026.

Nevertheless, this structural advantage is balanced by the capital requirements of the underlying asset base. To protect its market standing and support hyperscale demand through partnerships, Equinix entered into transactions such as the Hampton transaction involving 134 MW of leasing and generated $120M of xScale fees. Maintaining market share requires aggressive forward capacity additions in an environment of escalating power and equipment costs. Consequently, while the interconnection moat protects the existing business from direct displacement, the continuous capital reinvestment treadmill constrains returns on equity, which stood at 9.5% in fiscal 2025.

VALUATION

Three scenarios make the valuation range explicit

Our valuation framework implements an explicit discounted cash flow model across the FY2027 to FY2031 forecast window, utilizing an 8.70% weighted average cost of capital and an equity beta input of 0.97. Across all scenarios, the baseline accounts for diluted shares of 98.7 million and incorporates the capital intensity required to support enterprise colocation. We evaluate cash flow trajectories across bear, base, and bull paths to capture variance in top-line expansion and long-term free cash flow margin normalization.

In our base scenario, Equinix compounds revenue at an 8.0% compound annual growth rate through FY2031, with target free cash flow margin expanding to 43.8% in the final forecast year as the heavy capital expenditure cycle moderates relative to top-line scale. Applying a 2.5% terminal growth rate yields a base equity value of $1,014.04 per share, representing a 3.0% premium over the reference spot price of $984.75. In the bull scenario, revenue compounds at an 11.0% CAGR with final-year free cash flow margins reaching 46.3%, delivering a target of $1,213.72, or +23.3% upside. Conversely, the bear scenario models a decelerating 5.0% revenue CAGR and a lower normalized FCF margin of 40.3%, producing a valuation of $820.49, representing -16.7% downside.

Weighting these outcomes 25% bear, 50% base, and 25% bull generates our blended target price of $1,015.57, which implies a modest +3.1% total return potential relative to the reference spot price. At current market levels, the stock trades at 71.6x its fiscal 2025 diluted EPS of $13.76, 10.5x fiscal 2025 revenue of $9.22B, 12.8x enterprise

value to revenue, and 28.8x enterprise value to EBITDA. These multiples indicate that the market has fully priced in the operational acceleration seen in recent quarters, leaving risk and reward evenly balanced.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	5.0%	40.3%	$820.49	-16.7%
Base	50%	8.0%	43.8%	$1,014.04	+3.0%
Bull	25%	11.0%	46.3%	$1,213.72	+23.3%

Bear $820.49

Under this pathway, revenue growth decelerates to a 5.0% CAGR while target free cash flow margin reaches only 40.3%. Persistent capital outlays matching the projected 2026 run-rate of $5B to $6B depress cash generation, while churn of 1.8% increases and the absence of recurring xScale transaction fees exposes underlying deceleration, driving 16.7% downside to spot.

Base $1,014.04

Our baseline path reflects an 8.0% revenue CAGR and an expansion to a 43.8% target FCF margin by FY2031. Sustained monthly recurring revenue growth near recent double-digit levels and steady interconnection additions offset elevated capex burdens, yielding a fair value of $1,014.04, which is 3.0% above the reference price.

Bull $1,213.72

This scenario assumes revenue expands at an 11.0% CAGR while target FCF margin expands to 46.3% as capital intensity tapers. Surging interconnection volume well above the 9,700 quarterly net additions and ongoing large-scale leasing velocity drive operating leverage, generating 23.3% upside to $1,213.72.

VALUATION FRAMEWORK

A live discount rate, not a static hurdle

Our valuation employs a fundamentally grounded weighted average cost of capital of 8.70%, constructed using an equity beta of 0.97. This discount rate reflects the balance between Equinix's highly resilient, contracted recurring revenue model and the substantial financial leverage on its balance sheet. With total debt standing at $22.7B against cash of $1.73B, net debt of $21.0B represents a significant commitment of enterprise resources. The 8.70% discount rate appropriately prices the risk of managing elevated capital expenditures through macroeconomic fluctuations.

The market's current valuation of the equity at a market capitalization of $97.2B across 98.7 million diluted shares demonstrates confidence in the defensive characteristics of the real estate investment trust structure. However, given an equity beta of 0.97, the company's cost of capital leaves minimal room for

KEY VALUATION PARAMETERS

Forecast window	**FY2027 to FY2031**
Live WACC	**8.70% (2026-10-20)**
Terminal growth	**2.5%**
Equity beta	**0.97**
Diluted shares	**98.7 million**

HOLD

operational missteps. An 8.70% hurdle rate demands consistent execution in converting adjusted EBITDA into tangible per-share equity value, particularly as the business navigates large capital requirements.

FCF margin normalization is the engine

The critical driver in our five-year discounted cash flow bridge from FY2027 to FY2031 is the normalization of free cash flow margins. In fiscal 2025, Equinix generated free cash flow of $-400.0M, resulting in an FCF margin of -4.3% on revenue of $9.22B. Operating income of $1.97B and EBITDA of $4.10B were entirely absorbed by capital expenditures and infrastructure commitments. The conversion from negative free cash flow to our modeled target margins of 40.3% in the bear case, 43.8% in the base case, and 46.3% in the bull case represents the primary valuation bridge.

This margin expansion assumes that the unprecedented investment cycle, marked by 2026 capex guidance of $5B to $6B, matures into fully commercialized, revenue-generating capacity across global IBX data centers. As these facilities reach target utilization, recurring interconnection fees and colocation rents drop to the bottom line with minimal incremental maintenance capital. Gross margins, which stood at 51.1% in fiscal 2025, are supported by operating income margins that rose to 23.4% in the first quarter of fiscal 2026, confirming that core operating leverage can materialize once expansionary capital outlays abate.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

Methodology. Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

over $1,015.57

blended target

BUSINESS & SEGMENT DRIVERS

Revenue prospects anchor on Interconnection Density and IBX Colocation Capacity

HOLD

Equinix operates IBX data centers where networks, clouds, and enterprises exchange traffic, creating two primary operational growth engines. The first driver is physical and virtual interconnection. In the second quarter of fiscal

2026, the company established a record by adding 9,700 net interconnections, highlighting the indispensable role of its switching fabric. These connections link enterprise environments directly to major cloud service providers and network backbones, driving high-margin recurring income that enhances portfolio-wide adjusted EBITDA margins, which reached 53% in that same period.

The second operational driver is high-density colocation space and associated power infrastructure. Revenue generation within this core business stepped up across recent quarters, expanding from $2.32B in the third quarter of fiscal 2025, to $2.42B in the fourth quarter of fiscal 2025, $2.44B in the first quarter of fiscal 2026, and reaching $2.62B in the second quarter of fiscal 2026. This trajectory was supported by strong commercial momentum, with annualized gross bookings reaching $424M in the second quarter of fiscal 2026, up 23% year over year.

Complementing the core IBX footprint is the company's participation in large-scale deployments through xScale facilities. In the second quarter of fiscal 2026, results were bolstered by $120M of xScale fees tied to 134 MW of leasing and the Hampton transaction. While these transactions provide substantial capital efficiency and validation of enterprise demand, they introduce lumpiness into reported earnings. The core business relies on monthly recurring revenue, which delivered its third consecutive quarter of double-digit expansion with an 11% increase in the second quarter of fiscal 2026.

The translation of top-line expansion into corporate profitability has shown notable variability across recent quarters. Operating income rose from $485.0M at a 20.9% margin in the third quarter of fiscal 2025, to $507.0M at a 21.0% margin in the fourth quarter of fiscal 2025, and reached $573.0M at a 23.4% margin in the first quarter of fiscal 2026. Meanwhile, net income moved from $374.0M in the third quarter of fiscal 2025 to $265.0M in the fourth quarter of fiscal 2025, before recovering to $415.0M in the first quarter of fiscal 2026. This uneven conversion reinforces the necessity of our balanced Hold rating.

What to monitor

- **Net interconnection cadence** following the addition of 9,700 net interconnections in the second quarter of fiscal 2026 to verify whether enterprise connectivity demand maintains its historical velocity.
- **Monthly recurring revenue trajectory** to ensure performance maintains the 11% growth rate recorded across the three consecutive quarters ending in the second quarter of fiscal 2026.
- **Capital expenditure execution** against management guidance of $5B to $6B for fiscal 2026, evaluating its impact on cash balances and leverage.
- **Customer turnover rates** relative to the 1.8% churn figure logged in the second quarter of fiscal 2026 as legacy capacity is repriced and renewed.

+5.4%	51.1%	21.3%	-4.3%	$21.0B	9.5%
FY2025 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET DEBT	RETURN ON EQUITY

METRIC	FY2025 (AS REPORTED)
Revenue	$9.22B

Gross Profit	$4.71B
EBIT	$1.97B
Net Income	$1.35B
EBITDA	$4.10B
Free Cash Flow	$-400.0M
Diluted EPS	$13.76
ROE	9.5%

RISK & MOAT MATRIX

The bear case

SHARE EROSION

Customer churn of 1.8% recorded in the second quarter of fiscal 2026 demonstrates that space turnover remains an active factor as enterprise workloads evolve. Should competitors replicate direct cross-connect fabrics, Equinix could experience pricing pressure on colocation renewals.

M&A DIGESTION

Large structural transactions such as the Hampton transaction involving 134 MW of leasing introduce integration complexity across regional platforms. The inclusion of $120M in one-time xScale fees highlights how transaction-related revenue can flatter underlying

REGULATORY AND PRICING SCRUTINY

Operating critical infrastructure across international metro areas subjects IBX data centers to local power usage reviews and grid constraints. Any regulatory restrictions on power allocation could impair future development timelines and raise utility operating costs.

TECHNOLOGY DISRUPTION

Shifts in enterprise network architecture could reduce the need for physical cross-connects between private clouds and network carriers. If virtualization diminishes the demand for on-premises IBX termination, the net addition of interconnections could slow from its record pace of 9,700.

REINVESTMENT TREADMILL

The company faces an enormous capital outlay with 2026 capex projected at $5B to $6B, compounding after fiscal 2025 free cash flow of $-400.0M. Persistent high capital intensity delays free cash flow margin normalization and consumes operational liquidity.

WACC AND DURATION SENSITIVITY

With net debt standing at $21.0B against a total debt load of $22.7B, Equinix carries substantial leverage into an 8.70% discount rate environment. Any upward pressure on capital costs significantly compresses equity value given the long duration of data center cash flows.

operational performance.

The strengths

OLIGOPOLY POSITION

Equinix remains the preeminent global interconnection real estate investment trust operating IBX data centers where networks, clouds, and enterprises exchange traffic. This entrenched ecosystem provides an unmatched barrier to entry against greenfield colocation developers.

FCF COMPOUNDING

Long-term cash flow generation is anchored by high-margin recurring colocation contracts, with monthly recurring revenue compounding at 11%. As 2026 capital projects complete, operating leverage can lift free cash flow margins toward our 43.8% base target.

GEOGRAPHIC DURABILITY

The distributed presence of IBX data centers across major global metros shields the business from localized economic downturns. This geographic breadth supported second-quarter fiscal 2026 adjusted EBITDA of $1.40B at a record 53% margin.

PIPELINE OPTIONALITY

Enterprise demand continues to manifest in record commercial momentum, evidenced by annualized gross bookings of $424M up 23% in the second quarter of fiscal 2026. This pipeline supports management's historic full-year revenue guidance raise to $10.205B to $10.285B.

The bottom line on risk and reward

The operational performance of Equinix across the recent evidentiary record highlights the enduring strengths of its IBX interconnection model. The second quarter of fiscal 2026 delivered an exceptional 16.4% top-line expansion to $2.62B, a historic guidance increase bringing full-year AFFO per share expectations to $42.69 to $43.29, and a record 9,700 net interconnections. Furthermore, the market has shown a willingness to look through per-share misses, as seen in the fourth quarter of fiscal 2025 when shares advanced 10.4% post-earnings despite a 13.1% comparison shortfall.

However, current market pricing leaves negligible margin of safety. With a reference spot price of $984.75, the equity trades at 71.6x fiscal 2025 diluted EPS of $13.76, 10.5x fiscal 2025 revenue of $9.22B, and 28.8x fiscal 2025 EBITDA of $4.10B. When weighed against a balance sheet carrying $21.0B in net debt and a 2026 capital expenditure plan of $5B to $6B that follows fiscal 2025 free cash flow of $-400.0M, the potential for near-term multiple expansion appears restricted.

Our probability-weighted discounted cash flow model derives a blended price target of $1,015.57, representing a +3.1% upside potential from current levels. Because this modest expected return aligns with our criteria for a neutral stance, we maintain a Hold rating on Equinix, Inc., advising investors to await a more advantageous entry point or concrete evidence of capital expenditure moderating into positive free cash flow generation.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

FRANCHISE DEEP DIVE

IBX Interconnection Fabric: The Engine of Enterprise Traffic Exchange

Equinix operates IBX data centers where networks, clouds, and enterprises exchange traffic, functioning as the premier digital crossroad of the modern economy. The intrinsic value of an IBX facility is not determined by square footage or physical power alone, but by the density of cross-connects that inhabit the building. When a major cloud service provider or telecommunications carrier establishes a presence, enterprise customers deploy their infrastructure within the same facility to access direct, low-latency connectivity. This creates an ecosystem where every tenant attracts additional counter-parties, reinforcing the durability of the platform.

The economic power of this franchise was demonstrated forcefully in the second quarter of fiscal 2026. The platform added a record 9,700 net interconnections in a single three-month period, demonstrating that digital transformation initiatives require direct physical connectivity rather than reliance on public internet transit. This expansion occurred alongside annualized gross bookings of $424M, reflecting 23% year-over-year growth, which marks the second-best bookings quarter in corporate history. The compounding nature of these cross-connects enables high incremental margins, contributing directly to the record 53% adjusted EBITDA margin achieved in that quarter.

Despite this operational delivery, the capital demands of preserving this franchise remain considerable. Sustaining enterprise demand requires developing hyperscale-adjacent facilities, as demonstrated by the 134 MW of leasing and the Hampton transaction that yielded $120M in xScale fees during the second quarter of fiscal 2026. Meanwhile, the core business generated operating margins of 20.9% in the third quarter of fiscal 2025, 21.0% in the fourth quarter of fiscal 2025, and 23.4% in the first quarter of fiscal 2026. Converting these operating gains into unlevered free cash flow remains challenging under an investment program requiring $5B to $6B in capital outlays for 2026, keeping free cash flow generation tightly bound to ongoing expansionary investments.

What the recent record shows

- Record net interconnection additions of 9,700 in the second quarter of fiscal 2026 alongside annualized gross bookings of $424M, up 23% year over year.
- Accelerating top-line revenue from $2.32B in the third quarter of fiscal 2025 to $2.62B in the second quarter of fiscal 2026, supported by three consecutive quarters of 11% monthly recurring revenue growth.
- The largest guidance raise in company history during the second quarter of fiscal 2026, lifting full-year revenue expectations to $10.205B to $10.285B and full-year AFFO per share to $42.69 to $43.29.
- Persistent capital outlays reflected by projected 2026 capital expenditures of $5B to $6B following negative free cash flow of $-400.0M and net debt of $21.0B in fiscal 2025.

Our read: Equinix maintains an exceptional franchise across its global IBX data centers, but current trading multiples fully capture its operating momentum. With an implied upside of +3.1% to our $1,015.57 blended target, we see a balanced risk-reward profile and maintain our Hold recommendation.